

26CMCV00182 26CMCV00182

County: los-angeles

Division: Civil Law and Motion

Department: A

Hearing date: 2026-09-11

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The court denies without prejudice the Amended Petition for Approval of Compromise of Claim or Action or Disposition of Proceeds of Judgment for Minor or Person with a Disability.

Trust Instrument:

In the proposed trust instrument, Petitioner provides a blank Joinder Agreement at Attachment 18(b)(4). The Joinder Agreement must be completed, but not signed, for full review by the Court as the Joinder Agreement is where specific sections of the Trust can be modified, such as beneficiary designations and identification of current government benefits to be preserved.

Findings Required by Probate Code 3604(b):

In addition, the court is unable to make the finding required by Probate Code section 3604(b) that the SNT beneficiary is likely to have special needs that will not be met without the trust, because no information has been provided regarding any asset-dependent government benefits that may be jeopardized if the settlement is not funded into a SNT. Petitioner is required to provide briefing or information indicating whether the beneficiary receives asset-based government assistance or support which would be jeopardized if the settlement were received outright. (Assuming the beneficiary does have such benefits, and if the Petitioner has already evaluated the ability to "spend-down" the settlement proceeds such that it would not affect those benefits and that is not a viable option, then a Pooled Special Needs Trust appears to be the best option.)

Nor can the court make the required finding that the money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the SNT beneficiary's special needs, because no information has been provided regarding what special needs will be met through the funds in the SNT, nor has a statement been made that the amount to be funded is reasonable in light of those needs.

In addition, the August 19, 2026 proposed order fails to indicate that the minor has a disability (item 3.b.2.) and does not indicate that the settlement proceeds will be paid to the SNT (item 8.b.2.) – however, it does include a copy of the terms of the Trust with no specific orders concerning such document. The proposed order also fails to provide for continuing court jurisdiction and supervision over the trust.

Trustee and Bond:

The proposed order also indicates Bond is not required (item 11), but the court is inclined to require a bond because the proposed trustee is not a corporate fiduciary/trust company. (See Rules of Court, Rule 7.903(c)(5), Probate Code sections

2320, 15602.) A proper bond calculation based upon the assets to be funded into the trust, plus anticipated annual income from investments and annuity if relevant, plus an additional amount required for the costs of any recovery on the bond, is \$29,000. If the petition is approved, that bond will be required to be submitted by the trustee to the Probate Department.

Proposed Order:

The proposed order shall further require the filing of a Notice of Commencement of Proceedings for a Court Supervised Trust on LASC Form PRO 044 in the Probate division of this court within 60 days in order to pass jurisdiction over the trust to the Probate division.

The proposed order shall further provide that the trustee's first accounting is due filed in the Probate case within a year, providing a blank for the court to insert a 14-month calendar due date.

The proposed order shall further set an OSC in Department A with a blank for the court to fill in a hearing date in approximately 60 days, to ensure the funding of the settlement, submission of bond, and the filing of LASC Form PRO 044 to open a trust supervision action in probate.

The proposed order lacks and shall include rulings granting the Additional Requests for Relief requested. The court is inclined to grant the additional requests for relief but cannot do so if not included in the proposed order.

Plaintiff is ordered to give notice, including notice to the Probate Division of any further amended petition and hearing date.